AGA KHAN UNIVERSITY EXAMINATION BOARD

SECONDARY SCHOOL CERTIFICATE

CLASS X EXAMINATION

MAY 2016

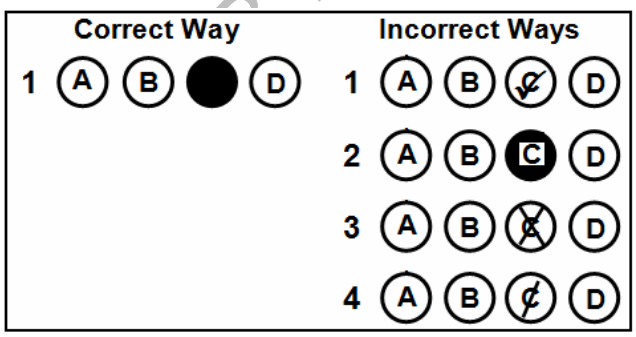
Principles of Accounting Paper I

Time: 35 minutes Marks: 25

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INSTRUCTIONS

1. Read each question carefully.
2. Answer the questions on the separate answer sheet provided. DO NOT write your answers on the question paper.
3. There are 100 answer numbers on the answer sheet. Use answer numbers 1 to 25 only.
4. In each question there are four choices A, B, C, D. Choose ONE. On the answer grid black out the circle for your choice with a pencil as shown below.



Candidate's Signature

5. If you want to change your answer, ERASE the first answer completely with a rubber, before blacking out a new circle.
6. DO NOT write anything in the answer grid. The computer only records what is in the circles.
7. You may use a simple calculator if you wish.
8. Some new terminologies have been introduced and mentioned in the brackets. The old terminologies have also been mentioned in the paper for your assistance.

1. Hashim & Sons purchased a machine with the list price of Rs 950,000 and useful life of 15 years. The business incurred the following expenditures at the time of purchase.

   - Training of staff for machine operation Rs 25,000
   - Installation charges paid to professional Rs 12,500
   - Repair of a part damaged during installation Rs 40,000
   - Transportation expense to bring the machine Rs 25,000
   - Premium paid for 3 years fire insurance policy Rs 75,000

   The total revenue expenditure for the year will be

   A. Rs 12,500
   B. Rs 25,000
   C. Rs 37,500
   D. Rs 75,000

2. On March 01, 2014, Nafeesa purchased a stitching and embroidery machine for Rs 300,000 with the salvage value of Rs 12,000 and estimated life of 10 years. The business follows 20% Diminishing Balance Method for charging depreciation.

   The book value of the machine at December 31, 2014 will be

   A. Rs 240,000
   B. Rs 250,000
   C. Rs 271,200
   D. Rs 276,000

3. On January 01, 2011, Alpha Corporation purchased a machine for Rs 500,000. The life of the machine was estimated to be 10 years. The company uses Straight Line Method of depreciation and its financial year ends on December 31.

   On July 01, 2014 the business decided to exchange the machine with a new machine costing Rs 700,000. The allowance for depreciation charged till date of machine is Rs 175,000 and the agreed trade in allowance is Rs 275,000.

   The above exchange of machine will result in a

   A. loss of Rs 50,000.
   B. gain of Rs 50,000.
   C. loss of Rs 75,000.
   D. gain of Rs 75,000.

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4. The adjusting entry for recording bad debt written off under direct method will be

	Debit	Credit
A	Provision (Allowance) for doubtful debts	Account receivable (Trade receivable)
B	Account receivable (Trade receivable)	Bad debts (Doubtful debts) expense
C	Account receivable (Trade receivable)	Provision (Allowance) for doubtful debts
D	Bad debts (Doubtful debts) expense	Account receivable (Trade receivable)

5. Decrease in Provision (Allowance) for doubtful debts will result in

A. increase in net income.
B decrease in net income.
C. increase in expenditure.
D. no effect on net income.

6. The following data is extracted from the books of Rehana & Co.

Opening balance of Provision (Allowance) for doubtful debts is Rs 1,000

Closing balance of Account receivable (Trade receivable) is Rs 100,000

The company's policy is to estimate Provision (Allowance) for doubtful debts @ 5% each year.

The amount of Provision (Allowance) for doubtful debts charged for the year by the business will be

A. Rs 1,000
B Rs 4,000
C. Rs 5,000
D. Rs 6,000

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7. The following balances are extracted from the books of Al-Hashimi Enterprises.

Particulars	Amount (Rs)	Particulars	Amount (Rs)
Sales revenue	250,000	Supplies	12,500
Purchases	150,000	Transportation in	35,000
Sales return	8,500	Stock ending	15,000
Purchase return	8,500	Stock opening	12,000

The amount of cost of goods sold will be

A. Rs 120,500
B. Rs 138,500
C. Rs 173,500
D. Rs 190,500

8. At the time of preparing closing entries, the item of balance sheet (statement of financial position) that will be considered for closing is

A. drawing account.
B. unearned commission.
C. allowance for depreciation.
D. provision (allowance) for doubtful debts.

9. The pre-closing trial balance shows office supplies as Rs 25,000 and the data for adjustment represents the amount for office supplies used during the year as Rs 15,000.

The amount of prepaid office supplies transferred to balance sheet (statement of financial position) will be

A. Rs 10,000
B. Rs 15,000
C. Rs 25,000
D. Rs 40,000

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10. Following data is extracted from the books of Aleena & Co.

Particulars	Amount (Rs)
Net sales	250,000
Net purchases	145,000
Opening stock	25,000
Ending stock	35,000
Operating expense	50,000

The net profit/ loss of the business will be

A. Rs 65,000
B. Rs 95,000
C. Rs 115,000
D. Rs 135,000

11. The following balances are extracted from the books of Al-Ammara Traders.

- Salary expense Rs 15,000
- Accrued rent Rs 25,000
- Insurance expense Rs 45,000

The data for adjustment shows accrued salary expense of Rs 2,500.

The adjusting entry for salary will be

	Particular	P.R.	Debit	Credit
A	Salary payable		2,500	
	Salary expense			2,500
B	Prepaid salary		2,500	
	Salary expense			2,500
C	Salary expense		2,500	
	Salary payable			2,500
D	Salary expense		2,500	
	Prepaid salary			2,500

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12. Following are the accounting details about account receivable (trade receivable) of Majida Traders.

Particulars	January 01, 2015	December 31, 2015
Account receivable (trade receivable)	Rs 50,000	Rs 60,000
Received from customers		Rs 180,000

The amount of credit sales from the above information will be

A. Rs 70,000
B. Rs 110,000
C. Rs 170,000
D. Rs 190,000

13. In single entry accounting system, it is impossible to prepare

A. trial balance.
B. statement of affairs.
C. receipt and payment account.
D. income and expenditure account.

14. The following are account balances of Amna Traders

Particulars	Amount (Rs)
Capital at end	120,500
Capital at start	85,000
Drawing	12,000
Additional investment	10,500

The net profit or loss from the above information will be

A. Rs 13,000
B. Rs 34,000
C. Rs 37,000
D. Rs 58,000

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15. The following information is extracted from the books of Alamgir & Co. at December 31, 2014.

Particulars	**Amount (Rs)**
Drawing	12,000
Capital (31.12.2014)	250,000
Net income for the year	55,000
Additional investment	15,000

The opening capital of Alamgir & Co. on January 01, 2014 was

A. Rs 192,000
B. Rs 198,000
C. Rs 222,000
D. Rs 278,000

16. An accountant wrongly posted purchase of office equipment for Rs 15,000 into the purchase account.

The General Journal entry for correcting this error will be

	Particulars	**P.R.**	**Debit**	**Credit**
A	Office equipment		15,000	
	Cash			15,000
B	Purchase		15,000	
	Office equipment			15,000
C	Purchases		15,000	
	Cash			15,000
D	Office equipment		15,000	
	Purchase			15,000

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17. Ms Maheen sold goods to Ms Areeba on account for Rs 15,000. This entry was not recorded in the books of Ms Maheen.

The above accounting error of Ms Maheen will be classified as an error of

A. principle.
B. omission.
C. commission.
D. original entry.

18. A junior accountant by mistake recorded building repair maintenance expense account for Rs 12,000 as building extension account.

The General Journal entry for correcting the above error will be

	Particulars	P.R.	Debit	Credit
A	Expense and revenue summary		12,000	
	Building repair maintenance expense			12,000
B	Expense and revenue summary		12,000	
	Building extension account			12,000
C	Building repair maintenance expense		12,000	
	Building extension account			12,000
D	Building extension account		12,000	
	Building repair maintenance expense			12,000

19. Suspense account is a temporary account that is prepared to balance the trial balance for a short period of time.

Which error will be transferred to suspense account?

A. Error of principle
B. Error of original entry
C. Error of complete omission
D. Error of partial commission

20. Which of the following errors will be transferred to suspense account?

A. Salary paid in advance was entered as salary expense.
B. Withdrawal of goods for personal use was recorded as cash drawing.
C. A prepaid insurance premium for three years was recorded as insurance expense.
D. An item of sales returns was wrongly credited to the purchase returns account.

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21. In case of Non-Profit Organisations (NPO), accumulated fund is considered as

A. asset.
B. capital.
C. liability.
D. revenue.

22. Receipt and payment account is another name of

A. cash book.
B. voucher book.
C. bank statement.
D. statement of affairs.

23. Sadequain Art Club is planning to extend its building. For this reason, a new building has been bought on cash.

This purchase of building will be shown in

A	Income and expenditure account	Receipt and payment account
B	Accumulated fund account	Balance sheet
C	Balance sheet	Receipt and payment account
D	Income and expenditure account	Accumulated fund account

24. Saeed Anwer Cricket Academy is planning to purchase a new ground.

Purchase of a new ground on cash will be shown under

A. asset column of statement of affairs.
B. liability column of statement of affairs.
C. income column of income and expenditure account.
D. expenditure column of income and expenditure account.

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25. The receipt and payment account of Starlina Club for the month ended September 30, 2015 is as follows.

Receipt and Payment Account

01.09.15	Balance B/d	12,500	05.09.15	Machine purchased	25,000
20.09.15	Donation	22,500	10.09.15	Salaries to Manager	3,000
			25.09.15	Printing and stationary	1,000
			25.09.15	Fire insurance	2,000
			30.09.15	Balance c/d	4,000
		35,000			35,000

The total amount of expense that should be charged to income and expenditure account for the month will be

A. Rs 4,000
B. Rs 6,000
C. Rs 31,000
D. Rs 35,000

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